IN THE HIGH COURT FOR THE STATE OF TELANGANA
AT HYDERABAD
(Special Original Jurisdiction)

MONDAY, THE EIGHTH DAY OF JUNE
TWO THOUSAND AND TWENTY SIX

PRESENT

THE HONOURABLE SRI JUSTICE VAKITI RAMAKRISHNA REDDY

WRIT PETITION NO: 35006 OF 2018

Between:

Panem Srinivasa Rao, S/o. Late Muthaiah, aged 50 years, Occ. Government Teacher, R/o. Kistaram Village, Sathupalli Mandal, Khammam District.

...PETITIONER

AND

1. State of Telangana, Rep. by Principal Secretary to Revenue Department (Land Acquisition), Secretariat, Saifabad, Hyderabad.
2. District Collector, Khammam district at khammam.
3. Revenue Divisional Officer, Kalluru Division, Khammam District.
4. Tahsildar, Sathupalli Mandal, Khammam District.
5. The General Manager, Singareni Collieries Company Limited at Kothagudem, Bhadradrikothagudem District.

...RESPONDENTS

Petition under Article 226 of the Constitution of India praying that in the circumstances stated in the affidavit filed therewith, the High Court may be pleased to issue a Writ, order or direction more particularly in the nature of WRIT OF MANDAMUS declaring the action of respondents in not paying compensation to the petitioner, in spite of utilization of the petitioners land of Ac. 2.21 guntas in Survey No. 158/15/1 of Kistaram Revenue Village in Sathupaili Mandal of Khammam District for the purpose of 5th respondent to dump waste sand of Sathupally Open Cast, as illegal, irregular, irrational, and amounts to non-discharge of legal obligation conferred on them under the provisions of Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 and

Articles 14, 21 and 300-A of Constitution of India and consequently direct the respondents to pay compensation to the petitioner, rehabilitation and resettlement benefits payable for the said utilized land by invoking relevant statutory provisions of law.

I.A. NO: 1 OF 2018

Petition under Section 151 CPC praying that in the circumstances stated in the affidavit filed in support of the petition, the High Court may be pleased to direct the respondents to consider and decide the petitioners representation dt. 04.07.2016 for payment of compensation for utilization of his land of Ac. 2.21 gums in Survey No. 158/15/1 of Kistaram Revenue Village in Sathupalli Mandal of Khammam District in spite of utilization of said agricultural landed property for the purpose of 5th respondent to dump waste sand of Sathupally Open Cast-I, pending disposal of the main Writ Petition.

Counsel for the Petitioner: SRI AARE VENKATESWARA RAO

Counsel for the Respondent No.1 to 4: Ms. KATTA RADHA REDDY, AGP FOR LAND ACQUISITION

Counsel for the Respondent No.5: SRI P.SRI HARSHA REDDY, SC FOR SCCL

The Court made the following: ORDER

HIGH COURT FOR THE STATE OF TELANGANA
AT HYDERABAD

THE HON'BLE SRI JUSTICE VAKITI RAMAKRISHNA REDDY

WRIT PETITION No. 35006 of 2018

Date:08 .06.2026

Between:

Panem Srinivasa Rao .... Petitioner

AND

State of Telangana
Rep, by its Principal Secretary
Revenue (Land Acquisition) Department,
Secretariat, Saifabad, Hyderabad and others .... Respondents

ORDER:

This Writ Petition, under Article 226 of the Constitution of India, is filed by the petitioner herein, with the following prayer:

> *".....to issue a Writ, order or direction more particularly in the nature of WRIT OF MANDAMUS declaring the action of respondents in not paying compensation to the petitioner, in spite of utilization of the petitioner's land of Ac. 2.21 guntas in Survey No. 158/15/1 of Kistaran Revenue Village in Sathupalli Mandal of Khammam District for the purpose of 5th respondent to dump waste sand of Sathupaly Open Cast, a illegal, irregular irrational, and amounts to non-discharge of legal obligation conferred on them under the provisions of Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 and Articles 14, 21 and 300-A of Constitution of India and consequently direct the respondents to pay compensation to the petitioner, rehabilitation and resettlement benefits payable for the said utilized land by invoking relevant statutory provisions of law and pass such other order or orders as this Hon'ble Court may deem fit and proper in the circumstances of the case."*

2. The case of the petitioner is that he belongs to a Scheduled Caste community and is the legal heir of late Panem Muthaiah, who was the absolute owner, possessor and enjoyer of assigned agricultural lands admeasuring Ac.2.21 guntas in Survey No.158/15/1 and Ac.1.19 guntas in Survey No.158/15/2 situated at Kistaram Revenue Village, Sathupalli Mandal, Khammam District. The said lands were assigned to the petitioner's father in the year 1975 under a government scheme for distribution of land to landless poor persons and his name was duly reflected in the revenue records, pattadar passbook and title deed.

3. The petitioner further contends that the respondent authorities resumed the assigned lands admeasuring Ac.4.00 guntas through proceedings dated 21.02.2004 and 31.01.2004 for the purpose of enabling the 5th respondent to utilize the land for dumping waste sand of Sathupally Open Cast-I and the possession was handed over in the year 2005. Though ex gratia compensation under G.O.Ms.No.1307 at the rate of Rs.72,000/- per acre along with 30% solatium was paid in respect of only Ac.1.31 guntas, the respondents failed to pay compensation for the remaining extent of Ac.2.21 guntas. Despite repeated representations made by the petitioner's father during his lifetime and thereafter by the

petitioner himself and approaching the Lokayukta, no compensation was paid.

4. The petitioner also contends that the respondents are under a legal obligation to pay compensation for the land utilized by them and that, as the legal successor to his deceased father, he is entitled to claim the same. The continued failure of the respondents to compensate the petitioner for the land taken over for public purpose is alleged to be illegal, arbitrary, irrational and violative of the provisions of land acquisition Act.

5. The petitioner placed reliance on the judgment of the Hon'ble Supreme Court in *Tahera Khotoon and Others v. Revenue Divisional Officer/Land Acquisition Officer and Others*[1] wherein it was held that, before the High Court, the landowners were not only seeking enhancement of compensation for the acquired lands, but were also entitled to claim rent/damages for the period commencing from the date of dispossession till the date of issuance of notification.

6. *Per contra,* the learned Assistant Government Pleader for Land Acquisition contends that the petitioner's father, late Panem Muthaiah, was already paid ex-gratia compensation of

[1] (2014) 13 SCC 613

Rs.1,66,140/- towards an extent of Ac.1.39 guntas in Sy.No.158/15/2 pursuant to proceedings dated 27.04.2005. It is submitted that the said amount comprised market value and solatium and that the original assignee had accepted the compensation without protest by executing consent in favour of the Government, agreeing to the market value fixed and undertaking not to seek enhancement before any Court. It is further contended that the petitioner's father neither raised any objection at the time of survey nor at the time of receipt of ex-gratia compensation.

7. The learned Government Pleader further submits that, as per the Sub-Division records, the petitioner's father held assigned land of Ac.4.00 guntas in Sy.No.158. It is contended that the petitioner's father was in occupation of Ac.4.12 guntas, including an excess extent of Ac.0.12 guntas treated as encroachment. While admitting that compensation was paid only in respect of Ac.1.39 guntas, the respondents submit, on the basis of field enquiry and Tahsildar's report, compensation in respect of the remaining utilized land was not paid, though the said land is presently under waste dump utilization by the Singareni Collieries Company Limited, Kothagudem Area.

8. Heard Sri Aare Venkateswara Rao, learned counsel for petitioner, Ms. Katta Radha Reddy, learned Assistant Government

Pleader for Land Acquisition appearing on behalf of Respondent No.3, Sri Harsha Reddy, learned Standing Counsel for Singareni Collieries appearing on behalf of respondent No.5 and perused the material placed on record.

9. The only point that arises for consideration in this writ petition is:

Whether the petitioner is entitled to compensation for the land admeasuring Ac.2.21 guntas in Sy.No.158/15/1 allegedly resumed and utilized by the respondents for public purpose?

ANALYSIS AND FINDINGS:

10. It is not in dispute that the father of the petitioner viz., late Panem Muthaiah, was an assignee of government land under the scheme for distribution of land to landless poor persons and was issued assignment patta during the year 1975–76. The revenue records, Pattadar Passbook and Title Deed placed on record demonstrate that the petitioner's father was recognized by the State authorities as pattadar and enjoyer of assigned lands in Sy.No.158. It is also not in dispute that proceedings were initiated by the authorities vide Rc.No.B/100/2003 for resumption of lands for the purpose of enabling the 5th respondent–Singareni Collieries Company Limited to use the lands for dumping waste sand of Sathupally Open Cast–I.

11. Significantly, the stand of the respondents, rather than disproving the petitioner's case, substantially supports the same. The respondents themselves admit, in unequivocal terms, that compensation was paid only in respect of Ac 1.39 guntas in Sy.No.158/15/2 under proceedings dated 27.04.2005. The counter affidavit further candidly acknowledges that compensation in respect of the remaining utilized land was not paid any compensation, though the said land is presently under waste dump utilization by the 5th respondent as revealed during field verification and as reflected in the Tahsildar's report.

12. Once the respondents admit utilization and possession of the land for public purpose, the consequential legal obligation to pay compensation necessarily follows. The State and its instrumentalities cannot retain possession and derive benefit from private or assigned land while simultaneously denying compensation to the affected landholder. The action of taking over land and putting the same to public use without payment of compensation would amount to deprivation of property otherwise than by authority of law.

13. The contention of the respondents that the father of the petitioner has accepted ex-gratia compensation without protest and undertook not to seek enhancement of compensation does not

advance the case of the of the respondents. A careful reading of the record demonstrates that the acceptance of ex-gratia compensation pertained only to Ac.1.39 guntas in Sy.No.158/15/2. The respondents themselves admit that no amount whatsoever was paid for remaining utilized/unpaid extent. Therefore, acceptance of compensation in respect of one parcel of land cannot be construed as waiver of rights in relation to another extent for which admittedly no compensation was paid.

14. Equally, the plea that the father of the petitioner did not raise objection at the relevant time does not discharge the respondents from their constitutional and statutory obligation to compensate for land admittedly utilized by them.

15. It is to be noted that, the submission of the respondents that a portion of the land constituted excess occupation or encroachment also does not materially alter the outcome of the present case. The respondents acknowledge that the petitioner's father held assigned land of Ac.4.00 guntas and that he was in occupation of Ac.4.12 guntas, including Ac.0.12 guntas treated as encroachment. The record further discloses that compensation has already been paid in respect of Ac.1.39 guntas. Thus, after excluding the encroached extent of Ac.0.12 guntas, the unpaid balance extent surviving for consideration works out to Ac.2.09

guntas only. The respondents do not deny utilization of the said extent for the project purpose. Therefore, denial of compensation for the unpaid acquired land admittedly utilized for public purpose, cannot be sustained.

16. This Court also finds force in the reliance placed by the petitioner upon the judgment of the Hon'ble Supreme Court in *Tahera Khotoon's case (supra)* wherein it was recognized that landowners deprived of possession are entitled not only to compensation but also to claim rent/damages for the period during which their land remained under unauthorized occupation or use prior to lawful acquisition. The principle underlying the said judgment is that the State cannot benefit from prolonged possession of land without meeting its corresponding obligation to compensate the affected owner or occupier.

17. In the present case, the material on record clearly demonstrates that since the year 2005, the subject land was being utilized by the respondent no.5, for the purpose of dumping waste sand of Sathupally open Cast-I. Despite such utilization for several years, the petitioner or her predecessor-in-interest has not been paid any compensation in respect of Ac.2.09 guntas in Sy.No.158/15/1. Such action of the respondents is arbitrary, unreasonable and violative of Articles 14 and 300-A of the

Constitution of India. The respondents, having utilized the land of the petitioner for the public purpose, cannot evade their obligation to extend compensation and consequential statutory benefits.

CONCLUSION:

18. In view of the foregoing discussion, this Court is satisfied that the petitioner is entitled to compensation in respect of land admeasuring Ac.2.09 guntas in Sy.No.158/15/1 of Kistaram Revenue Village, Sathupalli Mandal, Khammam District, utilized by the respondents for public purpose.

RESULT & DIRECTIONS:

19. Accordingly, the Writ Petition is allowed in part. The respondents are directed to determine and pay compensation to the petitioner in respect of land admeasuring Ac.2.09 guntas, together with all applicable statutory and consequential benefits, including rehabilitation and resettlement benefits, if otherwise eligible, in accordance with law. The entire exercise shall be completed within a period of **six (06) months** from the date of receipt of a copy of this order. There shall be no order as to costs.

As a sequel, miscellaneous petitions pending if any shall stand closed.

SD/-MOHD. ISMAIL
DEPUTY REGISTRAR

//TRUE COPY//

SECTION OFFICER

To,

1. The Principal Secretary to Revenue Department (Land Acquisition), Secretariat, Saifabad, Hyderabad, State of Telangana.
2. The District Collector, Khammam district at khammam.
3. The Revenue Divisional Officer, Kalluru Division, Khammam District.
4. The Tahsildar, Sathupalli Mandal, Khammam District.

5. The General Manager, Singareni Collieries Company Limited at Kothagudem, Bhadradrikothagudem District.
6. One CC to SRI AARE VENKATESWARA RAO, Advocate [OPUC]
7. One CC to SRI P.SRI HARSHA REDDY, SC FOR SCCL [OPUC]
8. Two CCs to GP FOR LAND ACQUISITION, High Court for the State of Telangana at Hyderabad [OUT]
9. Two CD Copies

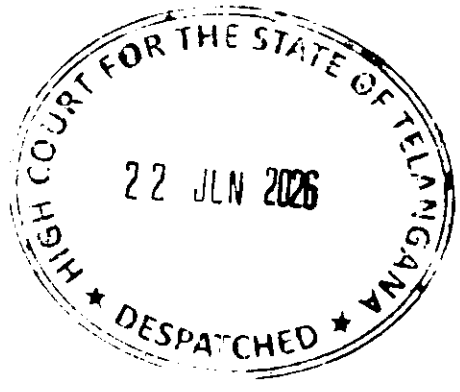
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HIGH COURT

DATED: 08/06/2026

ORDER

WP.No.35006 of 2018



PARTLY ALLOWING THE WRIT PETITION, WITHOUT COSTS

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18/06/26
K.B